



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2018/2019

SECOND SEMESTER EXAMINATION FOR THE DEGREE OF DOCTOR OF
PHILOSOPHY IN BUSINESS ADMINISTRATION (FINANCE OPTION)

BAC 906: FINANCE SEMINAR

DATE: THURSDAY 28TH MARCH 2019

TIME: 5.30 P.M. – 8.30 P.M.

INSTRUCTIONS

Answer ALL Questions

QUESTION ONE

- a) Explain the condition for the use of the following philosophies as used in finance research (8 marks)
- i. Positivism
 - ii. Realism
 - iii. Interpretivism
 - iv. Pragmatism
- b) Differentiate between a Contextual Gap and a Conceptual gap (6 marks)
- c) Explain any five functions of research design that are applicable to any research (5 marks)
- d) Explain the condition in capital market where event study can be applicable with ease. Giving a reason for each condition (10 marks)

(Total 29 marks)

QUESTION TWO

- a) What is Heckman sample selection model about (4 marks)
- b) Explain four areas in the economy where data envelope analysis can be applied. How is this applicable? (10 marks)
- c) There are two types of efficiency used in the nonparametric measurement, technical efficiency, produce more outputs from a given set of inputs or use less input to produce a given level of output and allocative efficiency, which is divided into three types. Outline and explain the three allocative efficiency that is referred above (6 marks)
- d) Explain three time series components that statisticians have identified (6 marks)

(Total 26 marks)

QUESTION THREE

- a) Describe the logistic regression analysis and the panel data analysis (10 marks)
- b) A research carried out to determine the chance of use of venture capital using gender as an independent variable. These are the results

Variables in the Equation

		B	S.E.	Wald	df	Sig.	Exp(B)
Step	gender	1.217	.245	24.757	1	.000	3.376
1	Constant	-.847	.154	30.152	1	.000	.429

a. Variable(s) entered on step 1: gender.

Model Summary

Step	-2 Log likelihood	Cox & Snell R Square	Nagelkerke R Square
1	399.913 ^a	.078	.106

a. Estimation terminated at iteration number 3 because parameter estimates changed by less than .001.

	B	S.E	WALD	d.f	sig	Exp	lower	upper
intangible asset ratio	1.943	0.490	15.759	1	0.000	6.983	2.675	18.230
log leverage ratio	-0.206	0.183	1.289	1	0.260	0.814	0.568	1.165
largest owner	-1.548	0.514	9.057	1	0.003	0.213	0.078	0.583
ROE	-0.113	0.150	0.560	1	0.454	0.894	0.665	1.200
LOG TOTAL SALES	0.177	0.050	12.693	1	0.000	1.193	1.083	1.315
YR 2008	-0.061	0.190	0.105	1	0.746	0.940	0.648	1.365
CONSTANT	1.153	0.485	5.642	1	0.018	0.316		

(Two tailed tests at 95% confidence level)

Required: interpret the results from the table shown above (10 marks)

(Total 20 marks)

QUESTION FOUR

- a) What are the advantages of the least regression equation? Identify the least square conditions (6 marks)
- b) The following information is provided on a company profit in millions made by a company over a period of 3 years

year	1	2	3	4
2006	2.2	5.0	7.9	3.2
2007	2.9	5.2	8.2	3.8
2008	3.2	5.8	9.1	4.1

Required: The trend of values using least square regression and hence the least square regression (10 marks)

- c) Let’s dive right in and perform a regression analysis using **api00** as the outcome variable and the variables **acs_k3**, **meals** and **full** as predictors. These measure the academic performance of the school (**api00**), the average class size in kindergarten through 3rd grade (**acs_k3**), the percentage of students receiving free meals (**meals**) – which is an indicator of poverty, and the percentage of teachers who have full teaching credentials (**full**). We expect that better academic performance would be associated with lower class size, fewer students receiving free meals, and a higher percentage of teachers having full teaching credentials. Below, we use the **regression** command for running this regression. The **/dependent** subcommand indicates the dependent variable, and the variables following **/method=enter** are the predictors in the model. This is followed by the output of these SPSS commands.

```
get file = "c:spssregelemapi.sav".
```

```
regression
  /dependent api00
  /method=enter acs_k3 meals full.
```

Variables Entered/Removed(b)

Model	Variables Entered	Variables Removed	Method
1	FULL, ACS_K3, MEALS(a)		. Enter

a All requested variables entered.

b Dependent Variable: API00

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.821(a)	.674	.671	64.153

a Predictors: (Constant), FULL, ACS_K3, MEALS

ANOVA(b)

Model	Sum of Squares	df	Mean Square	F	Sig.
Regression	2634884.261	3	878294.754	213.407	.000(a)
1 Residual	1271713.209	309	4115.577		
Total	3906597.470	312			

a Predictors: (Constant), FULL, ACS_K3, MEALS

b Dependent Variable: API00

Coefficients(a)

Model	Unstandardized Coefficients		Standardized Coefficients		t	Sig.
	B	Std. Error	Beta			
(Constant)	906.739	28.265			32.080	.000
1 ACS_K3	-2.682	1.394	-.064	-1.924	.055	
MEALS	-3.702	.154	-.808	-24.038	.000	
FULL	.109	.091	.041	1.197	.232	

a Dependent Variable: API00

Use the information to interpret the results given from a multiple SPSS regression (10 marks)

(Total 26 marks)